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Primary Auction Note – March 2021

In March, Central Bank of Kenya re-opened two fixed bonds **FXD1/2019/10-(8.0 Years)** and **FXD2/2018/20-(17.4 Years)** in a bid to raise **40 Billion**. The coupon rates for the bonds are **12.438%** and **13.200%** respectively. The period of sale for the bonds runs from **01/03/2021** to **09/03/2021.** The bonds attract a withholding tax rate of **10%** each.

Investors' focus remains on the short end of the yield curve: In the current market environment where concerns over the second wave of corona virus fueled by new variants of the virus remains high, interest rate uncertainty prevail, and liquidity is elevated, investors are likely to focus on the shorter end of the yield curve.

We advise investors to bid within the range of **12.15% to 12.39%** for the **FXD1/2019/10-(8.0 Years)** and **13.25% to 13.49%** for the **FXD2/2018/20-(17.4 Years)**.

March 8, 2021

RECOMMENDATION:

8.0- Year FXD1/2019/10:

Bid 12.15% to 12.39%

Period of Sale: 01/03/2021 to 09/03/2021.

17.4- Year FXD2/2018/20:

Bid 13.25% to 13.49%

Period of Sale: 01/03/2021 to 09/03/2021.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B+ (negative)

CPI:
(2019=100):
113.37

February Inflation:
5.78%

Interbank rate (5th March 2021):
5.09%

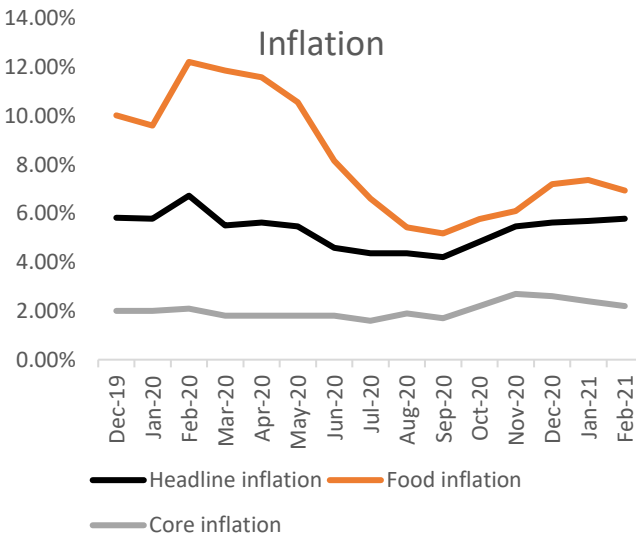
C.B.R (5th March 2021):
7.00%

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Secondary Bond Market:

In February, the secondary market activity increased. Turnover in February, reversed upwards by **41%** to **KES 74.12Bn ($675.05Mn)** from **KES 52.72Bn ($ 478.61Mn)** witnessed in January.

February Inflation:



In February, Headline Inflation increased to **5.78%** from **5.69%** in January. The CPI increased by **0.70%** from **112.58** in January to **113.37** in February. This increase occurred on the back of a rise in food and fuel prices.

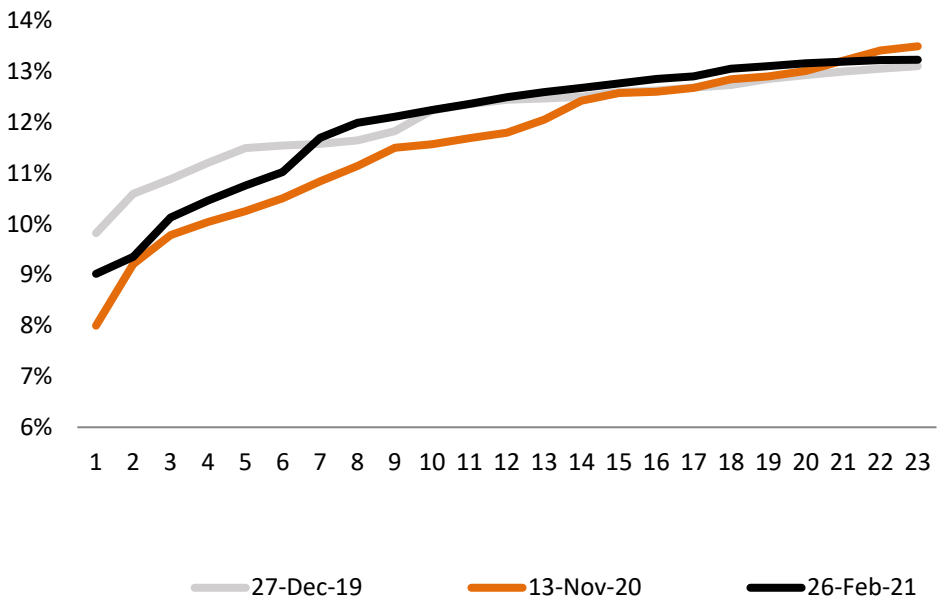
Headline inflation is likely to increase with the rise in food prices due to an expected La Nina and a global rise in oil prices.

Interbank

Money market remained relatively liquid during the month evidenced by decrease in the interbank rate from 5.72% as of 1st of February to 5.09% as of 5th of March.

During the month, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth.

NSE Yield Curve



The yield curve remained relatively unchanged during the month. We expect the yield curve to steepen as long-term rates increase while the short end remains unchanged with a downward bias.

Currency:

The Kenya Shilling (KES) appreciated against the greenback over the month of February as it gained **0.31%.** On the 26th of February, the KES closed at a value of **KES 109.80/$** versus the **KES 110.14/$** witnessed at the end of January. The continued appreciation of the KES is likely to reduce the cost of imports while encouraging investments within the country.

CBK's usable foreign exchange reserve decreased to **USD 7.61 billion** in February from **USD 7.66 billion** at the end of January, representing a decrease to **4.67 months** of import cover from **4.71 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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